



Archer Aviation

NYSE : ACHR · Young-Company DCF (Damodaran) \$3.89B mkt cap · 790M sh · \$1.78B cash, \$80M debt · \$1.78B cash (\$0.95B + \$0.83B ST inv), low debt; ~760M basic / ~790M diluted; Pre-revenue (Q1'26 first \$1.6M); ~\$727M/yr burn, ~2.4yr runway; Anduril defense JV + \$142M USAF; ~\$6B order book (mostly LOIs)

\$4.92

THE CENTRAL QUESTION

Is Archer's ~half-Joby price enough discount to make the eVTOL-plus-defense lottery ticket positive-EV — despite being the certification follower?

Archer trades at ~\$5.4B (~\$6.81/sh) on \$0 revenue — about half Joby's cap on a near-identical certification position, with \$1.78B cash but a ~\$727M/yr burn (~2.4yr runway) and a defense wildcard (the Anduril autonomous-VTOL JV) Joby lacks. The young-company DCF asks what aircraft fleet, UAM-plus-defense revenue, and dilution are plausible over a decade. The finding: 85% of the probability sits well below spot — heavy dilution craters the bear/base outcomes — but Archer is cheap enough that the 15% cert-success-plus-defense tail (paying 4-13x) lifts the weighted expected modestly above today's price.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$8.01 expected fair value today
+62.9% vs spot \$4.92

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$11.48	\$16.47	\$23.64	\$33.99
2.33x spot	3.35x spot	4.81x spot	6.91x spot

WEIGHTING RATIONALE

Ultra Bear 12% TC fails (Lilium-style); cash burns; near-total loss.

Bear 31% Cert slips; lean sub-scale operator; dilution wins.

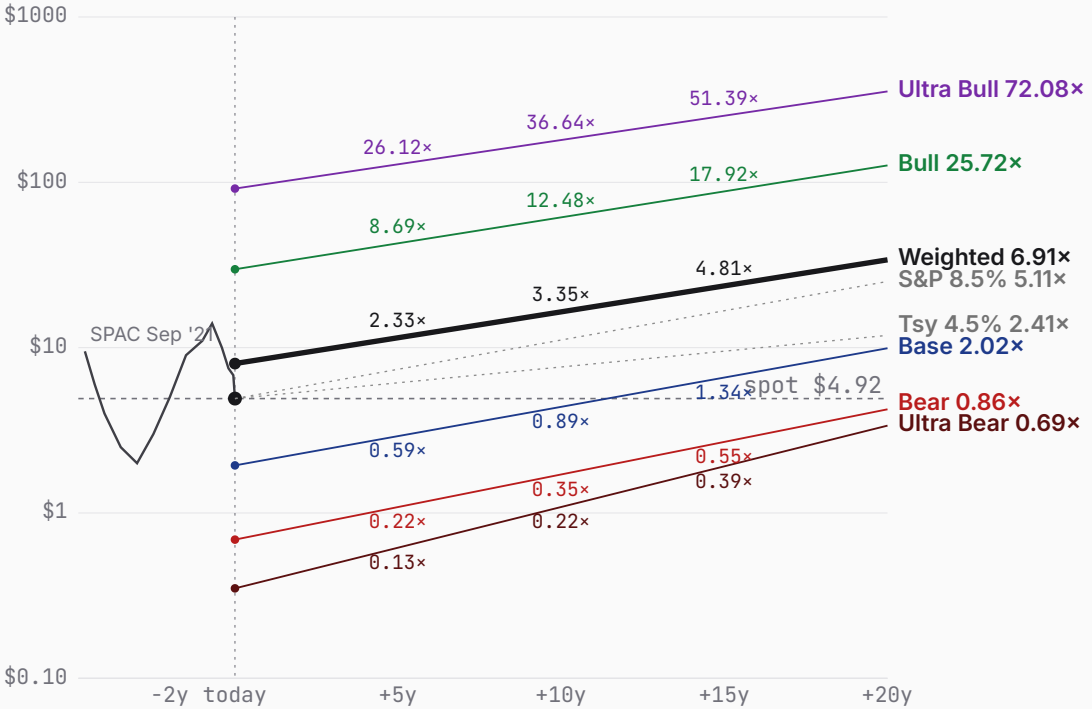
Base 42% Cert ~2027; mid-scale UAM + defense; diluted.

Bull 11% Cert + DoD program of record; ~5x spot.

Ultra Bull 4% UAM leader + major defense program; ~14x.

Bull (11%) + Ultra Bull (4%) together contribute \$6.94 — 87% of the \$8.01 expected value despite 15% combined probability. Today's spot (\$4.92) sits 39% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$0.35	BEAR	\$0.69	BASE	\$1.94	BULL	\$29.79	ULTRA BULL	\$91.64
	-92.9% vs spot		-86.0% vs spot		-60.6% vs spot		+505.5% vs spot		+1762.6% vs spot
TAM 0.0% P(fail) 45% S2C 0.6 Prob 12%		TAM 0.5% P(fail) 35% S2C 1.0 Prob 31%		TAM 2.2% P(fail) 18% S2C 1.2 Prob 42%		TAM 6.4% P(fail) 8% S2C 1.5 Prob 11%		TAM 9.6% P(fail) 4% S2C 1.7 Prob 4%	
TC fails (Lilium-style); cash burns; dilution.		Cert slips; lean sub-scale operator.		Cert ~2027; UAM scales + defense kicker.		Cert + DoD program of record win.		UAM leader + major defense program.	

PROBABILITY WEIGHTS

Ultra Bear 12% Bear 31% Base 42% Bull 11% Ultra Bull 4% · Weighted expected \$8.01 (+62.9% vs spot)

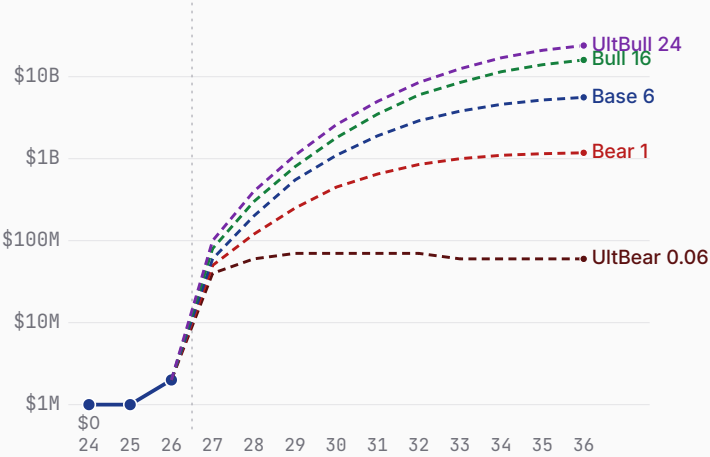
ULTRA BEAR	\$0.35	BEAR	\$0.69	BASE	\$1.94	BULL	\$29.79	ULTRA BULL	\$91.64
	-92.9% vs spot		-86.0% vs spot		-60.6% vs spot		+505.5% vs spot		+1762.6% vs spot
Probability 12%		Probability 31%		Probability 42%		Probability 11%		Probability 4%	
TC fails (Lilium-style); cash burns; dilution.		Cert slips; lean sub-scale operator.		Cert ~2027; UAM scales + defense kicker.		Cert + DoD program of record win.		UAM leader + major defense program.	
WHY 12%		WHY 31%		WHY 42%		WHY 11%		WHY 4%	
The category's base rate is unforgiving — no one holds an FAA Type Certificate yet, and Lilium (raised \$1.4B, failed) proves under-capitalization is fatal. Archer is the cert-follower with ≈2.4yr of runway; 45% within-scenario failure reflects real first-of-a-kind certification + funding risk. 12% scenario weight.		Cert slips and the business stays sub-scale; the ~\$6B order book (mostly LOIs) converts only partially. 35% failure probability — Archer is behind Joby on conforming-aircraft flight testing. 31% weight as a very plausible 'certifies but the dilution wins' outcome.		Requires cert on roughly schedule and a mid-scale UAM-plus-defense ramp — no category dominance. 18% failure probability given \$1.78B cash, Stellantis manufacturing, and the USAF/Anduril defense anchor. 42% weight as the central outcome.		A chain: cert clears AND manufacturing ramps AND UAM scales AND the Anduril relationship becomes a DoD program of record. Each plausible at 50-70%; jointly ~11%. The defense leg is Archer's distinctive second shot at the upside.		Tail of tails: UAM leadership AND a major multi-service defense program AND a premium platform terminal. Individually 40-60%; jointly ~4%. The asymmetric upside that the half-Joby price is really buying.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
Type certification defeats Archer — a flight-test setback, a transition-flight failure, or simply running out of runway (≈2.4yr of cash at the ~\$727M/yr burn) before the FAA grants a TC. Lilium's 2025 collapse proves the category kills the under-capitalized. Archer dilutes desperately at collapsing prices, then restructures; the residual is defense scraps plus whatever cash survives the attempt.		Archer eventually certifies but late and sub-scale; it becomes a lean niche eVTOL operator (~\$1.2B revenue by the mid-2030s at a low-teens margin) plus a modest defense line, never converting the ~\$6B order book or matching Joby's cadence. Heavy dilution (≈\$2.4B of raises at depressed prices) funds the long road to cert.		The modal path: Archer certifies on roughly the targeted timeline (~2027), scales the Midnight UAM network across the US and UAE, and converts part of the Anduril defense relationship into recurring revenue — ~\$5.6B combined by 2035 at a low-teens operating margin. A real, profitable transport-tech business.		The bull: Archer certifies, the Covington/Stellantis line ramps toward high volume, the UAM network scales across multiple metros, AND the Anduril partnership converts into a DoD program of record — ~\$16B combined revenue by 2035 at a ~28% operating margin. The defense leg is the differentiator Joby lacks.		The tail: Archer becomes a US UAM leader AND lands a major multi-service defense program — the autonomous hybrid-VTOL scales into a real DoD platform — for ~\$24B combined revenue by 2035 at a ~34% operating margin and a premium platform terminal.	
With a 45% within-scenario failure probability and the share count ballooning past 1.4B on sub-\$4 raises, the expected per-share collapses toward the distress floor — a near-total loss from today's \$6.81.		The DCF lands under \$1/share — the market is pricing a far larger outcome. This is the 'cert works, but the dilution math wins' world that Joby's bear shares.		But ~\$3.4B of dilutive raises to fund the buildout balloon the share count past 1.2B, and most of the fleet's value sits beyond the 10-year window. DCF ~\$2.25/share — ~67% below spot, the dilution tax on a successful-but-capital-hungry ramp.		Self-funding arrives mid-decade; dilution turns value-accretive. DCF ~\$32/share — ~5× today's price. This is the scenario the cheap entry is really buying.		DCF ~\$95/share — ~14× spot. A genuine 'eVTOL + defense prime' outcome; each leg is individually plausible at 40-60%, jointly ~4%. The asymmetric upside that makes the cheap entry positive-EV.	

Archer Aviation business snapshot

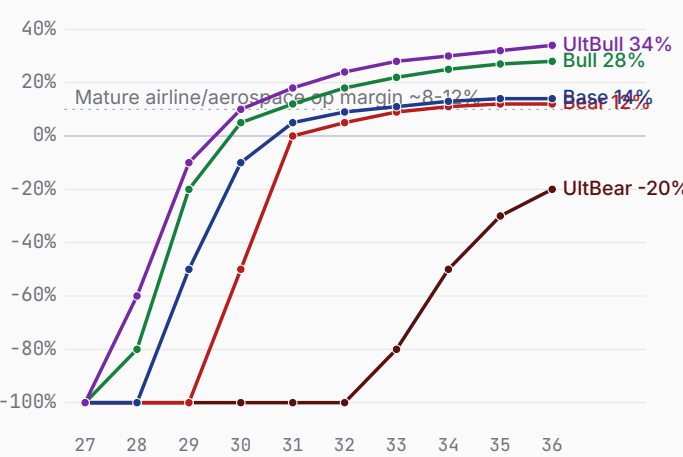
Bear \$0.69 Base \$1.94 Bull \$29.79

FY26-FY35 scenario projections (pre-revenue today) · fiscal years end Dec 31 · Q1 2026 10-Q, FY25 results

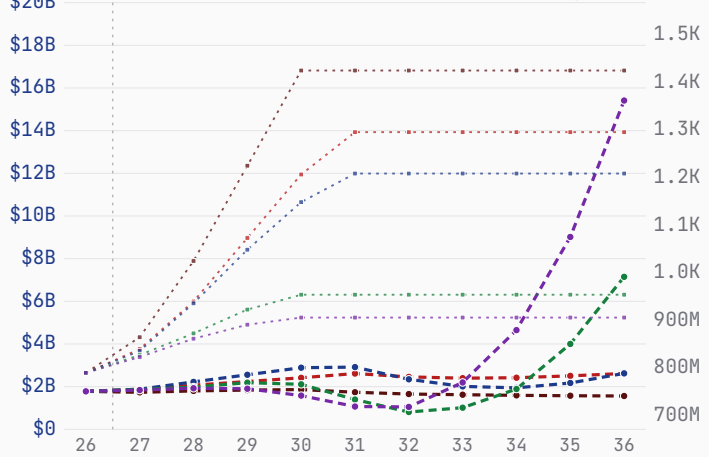
Revenue — history + scenarios to FY36 (log)



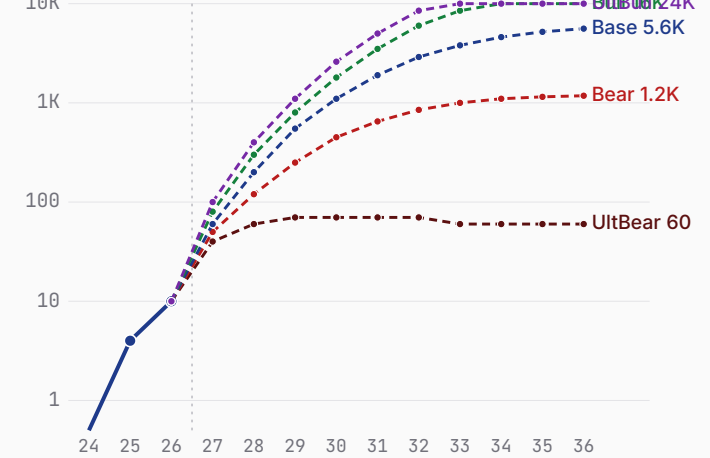
Path to profitability — op margin (FY27→FY36)



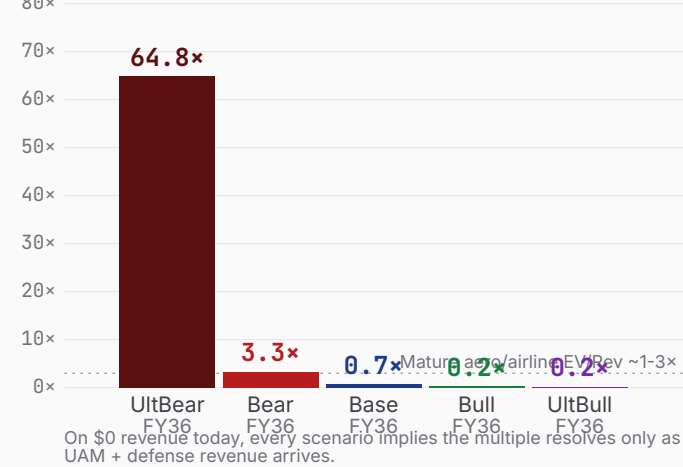
Cash + dilution (FY26 → FY36)



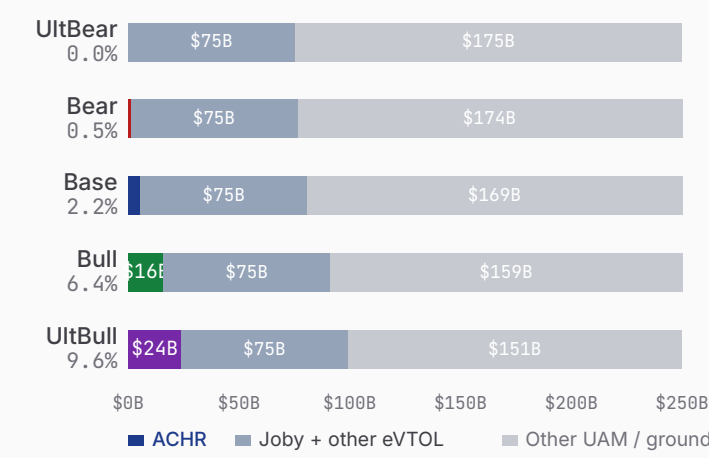
Aircraft fleet deployed (log)



\$3.89B mkt cap as P/S on FY36 rev



\$250B FY36 global UAM TAM — ACHR share (+ separate defense leg)



Sources: Archer Q1 2026 10-Q (cash+ST inv \$1.78B, net loss), FY2025 results (net loss \$618M), order-book + Anduril/USAF disclosures. Revenue modeled as UAM (passenger) + defense; FCF is NOL-shielded pre-tax over the explicit window (documented simplification). TAM: \$250B FY36 global UAM (matches the Joby memo) plus a separate defense leg.

Archer Aviation 7 Powers · the moat, scored

Bear \$0.69 Base \$1.94 Bull \$29.79

Arena. Electric vertical-takeoff air mobility (eVTOL) + defense VTOL — Archer (Midnight UAM 'airline' + Anduril defense) vs Joby (cert + cash leader), Beta, Vertical, EHang (China), Wisk/Boeing (autonomy); the race to originate the first certified, scaled UAM + dual-use position.

POWER ORIENTATION
origination window: open

POWER ORIENTATION · 7 POWERS

Scale Economies	The Covington/Stellantis line targets high volume, but it's pre-cert and unproven at rate.
Network Economies	A vertiport/route-network flywheel is future, not yet originated.
Counter-Positioning	Archer's defense dual-use (Anduril) is a position Joby and pure-UAM peers can't easily mirror.
Switching Costs	Airline/operator + defense-program lock-in is real once contracted, but contracts are early/conditional.
Branding	A leading eVTOL brand (United, Stellantis, Anduril, UAE); strong but unproven on delivery.
Cornered Resource · thesis leans here	An FAA TC (once granted) is the first-mover regulatory moat; Archer is a close #2 with manufacturing + defense assets.
Process Power	No certified aircraft yet; the manufacturing learning curve is ahead, not demonstrated.

THE RACE · NAMED RIVALS

Joby Aviation	Toyota; ~\$2.5B cash
~20% terminal share · Cert + cash leader (Toyota ~\$894M, ~\$2.5B cash, Dubai 6yr exclusive); flew FAA-conforming aircraft for TIA.	
Beta Technologies	>\$1B; QIA, GE
~12% terminal share · eCTOL flying/delivering; eVTOL behind; strong balance sheet (Nov'25 IPO ~\$7.4B); cargo + military.	
Vertical Aerospace	~\$180M; Mudrick
~6% terminal share · VX4; targets cert end-2026; chronically thin balance sheet.	
EHang	China; ~\$97M
~10% terminal share · EH216-S autonomous; CERTIFIED in China (tourism) — but jurisdiction-bound.	
Wisk (Boeing)	Boeing \$450M+
~10% terminal share · Autonomous (no pilot) Gen 6; harder/longer cert, later EIS; Boeing-funded.	

LEAD / LAG · FALSIFIERS

FAA certification stage	closed 'Phase 3'; for-credit testing vs Joby (TIA, conforming a/c flown)	LAGGING
Defense / dual-use	Anduril JV + \$142M USAF vs Joby (limited DoD)	LEADING
Liquidity / runway	\$1.78B (~2.4yr) vs Joby ~\$2.5B	LAGGING

COMPETITIVE READ

Archer is originating a credible #2 eVTOL position plus a distinctive defense dual-use leg (Anduril) that Joby lacks — at roughly half Joby's market cap. But it lags Joby on the one Power that matters first (FAA certification — Joby has flown conforming aircraft for TIA; Archer hasn't), and on cash/runway; the category just killed the under-capitalized Lilium. The window is open as the close #2 with a defense call option, but certification and the ~\$727M/yr burn are the falsifiers the whole bull case must clear.

Archer Aviation show your work

Bear \$0.69 Base \$1.94 Bull \$29.79 · Weighted \$8.01 (+62.9%)

ULTRA BEAR					\$0.35					BEAR					\$0.69					BASE					\$1.94					BULL					\$29.79					ULTRA BULL					\$91.64				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
TAM Year-10 (\$B)					250	TAM Year-10 (\$B)					250	TAM Year-10 (\$B)					250	TAM Year-10 (\$B)					250	TAM Year-10 (\$B)					250	TAM Year-10 (\$B)					250	TAM Year-10 (\$B)					250								
Mature share (%)					0.0	Mature share (%)					0.5	Mature share (%)					2.2	Mature share (%)					6.4	Mature share (%)					9.6	Mature share (%)					9.6	Mature share (%)					9.6								
Mature op margin (%)					-20	Mature op margin (%)					12	Mature op margin (%)					14	Mature op margin (%)					28	Mature op margin (%)					34	Mature op margin (%)					34	Mature op margin (%)					34								
Sales-to-capital					0.6	Sales-to-capital					1.0	Sales-to-capital					1.2	Sales-to-capital					1.5	Sales-to-capital					1.7	Sales-to-capital					1.7	Sales-to-capital					1.7								
Terminal WACC (%)					12.0	Terminal WACC (%)					9.5	Terminal WACC (%)					8.5	Terminal WACC (%)					7.5	Terminal WACC (%)					7.0	Terminal WACC (%)					7.0	Terminal WACC (%)					7.0								
Terminal growth (%)					2.0	Terminal growth (%)					2.0	Terminal growth (%)					2.5	Terminal growth (%)					3.0	Terminal growth (%)					3.5	Terminal growth (%)					3.5	Terminal growth (%)					3.5								
P(failure) (%)					45	P(failure) (%)					35	P(failure) (%)					18	P(failure) (%)					8	P(failure) (%)					4	P(failure) (%)					4	P(failure) (%)					4								
Scenario probability (%)					12	Scenario probability (%)					31	Scenario probability (%)					42	Scenario probability (%)					11	Scenario probability (%)					4	Scenario probability (%)					4	Scenario probability (%)					4								
10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B					10-YEAR DCF · \$B									
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF															
FY27	0.04	-700%	-0.35	-0.30	FY27	0.05	-300%	-0.20	-0.17	FY27	0.06	-250%	-0.20	-0.18	FY27	0.08	-200%	-0.21	-0.19	FY27	0.10	-180%	-0.24	-0.21	FY27	0.10	-180%	-0.24	-0.21	FY27	0.10	-180%	-0.24	-0.21															
FY28	0.06	-500%	-0.33	-0.25	FY28	0.12	-200%	-0.31	-0.24	FY28	0.20	-120%	-0.36	-0.28	FY28	0.30	-80%	-0.39	-0.31	FY28	0.40	-60%	-0.42	-0.34	FY28	0.40	-60%	-0.42	-0.34	FY28	0.40	-60%	-0.42	-0.34															
FY29	0.07	-350%	-0.26	-0.17	FY29	0.25	-120%	-0.43	-0.29	FY29	0.55	-50%	-0.57	-0.40	FY29	0.80	-20%	-0.49	-0.36	FY29	1.10	-10%	-0.52	-0.39	FY29	1.10	-10%	-0.52	-0.39	FY29	1.10	-10%	-0.52	-0.39															
FY30	0.07	-250%	-0.17	-0.10	FY30	0.45	-50%	-0.42	-0.26	FY30	1.10	-10%	-0.57	-0.36	FY30	1.80	+5%	-0.58	-0.38	FY30	2.60	+10%	-0.62	-0.42	FY30	2.60	+10%	-0.62	-0.42	FY30	2.60	+10%	-0.62	-0.42															
FY31	0.07	-180%	-0.13	-0.06	FY31	0.65	+0%	-0.20	-0.11	FY31	1.90	+5%	-0.57	-0.33	FY31	3.50	+12%	-0.71	-0.42	FY31	5.00	+18%	-0.51	-0.32	FY31	5.00	+18%	-0.51	-0.32	FY31	5.00	+18%	-0.51	-0.32															
FY32	0.07	-120%	-0.08	-0.04	FY32	0.85	+5%	-0.16	-0.08	FY32	2.90	+9%	-0.57	-0.29	FY32	6.00	+18%	-0.59	-0.32	FY32	8.50	+24%	-0.02	-0.01	FY32	8.50	+24%	-0.02	-0.01	FY32	8.50	+24%	-0.02	-0.01															
FY33	0.06	-80%	-0.03	-0.01	FY33	1.00	+9%	-0.06	-0.03	FY33	3.80	+11%	-0.33	-0.15	FY33	8.50	+22%	+0.20	+0.10	FY33	12.50	+28%	+1.15	+0.60	FY33	12.50	+28%	+1.15	+0.60	FY33	12.50	+28%	+1.15	+0.60															
FY34	0.06	-50%	-0.03	-0.01	FY34	1.10	+11%	+0.02	+0.01	FY34	4.60	+13%	-0.07	-0.03	FY34	11.50	+25%	+0.88	+0.40	FY34	17.00	+30%	+2.45	+1.19	FY34	17.00	+30%	+2.45	+1.19	FY34	17.00	+30%	+2.45	+1.19															
FY35	0.06	-30%	-0.02	-0.01	FY35	1.15	+12%	+0.09	+0.03	FY35	5.20	+14%	+0.23	+0.09	FY35	14.00	+27%	+2.11	+0.90	FY35	21.00	+32%	+4.37	+1.98	FY35	21.00	+32%	+4.37	+1.98	FY35	21.00	+32%	+4.37	+1.98															
FY36	0.06	-20%	-0.01	-0.00	FY36	1.18	+12%	+0.11	+0.04	FY36	5.60	+14%	+0.45	+0.16	FY36	16.00	+28%	+3.15	+1.24	FY36	24.00	+34%	+6.39	+2.70	FY36	24.00	+34%	+6.39	+2.70	FY36	24.00	+34%	+6.39	+2.70															
Σ PV explicit FCF					-0.94	Σ PV explicit FCF					-1.10	Σ PV explicit FCF					-1.76	Σ PV explicit FCF					+0.67	Σ PV explicit FCF					+4.79	Σ PV explicit FCF					+4.79														
+ PV terminal (g 2.0%)					-0.03	+ PV terminal (g 2.0%)					0.50	+ PV terminal (g 2.5%)					2.78	+ PV terminal (g 3.0%)					28.43	+ PV terminal (g 3.5%)					79.94	+ PV terminal (g 3.5%)					79.94														
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE														
Operating EV					\$-0.97B	Operating EV					\$-0.60B	Operating EV					\$1.02B	Operating EV					\$29.10B	Operating EV					\$84.73B	Operating EV					\$84.73B														
+ Cash & investments					\$1.78B	+ Cash & investments					\$1.78B	+ Cash & investments					\$1.78B	+ Cash & investments					\$1.78B	+ Cash & investments					\$1.78B	+ Cash & investments					\$1.78B														
= Equity value					\$0.73B	= Equity value					\$1.10B	= Equity value					\$2.72B	= Equity value					\$30.80B	= Equity value					\$86.43B	= Equity value					\$86.43B														
Raised over period					\$1.20B	Raised over period					\$2.40B	Raised over period					\$3.40B	Raised over period					\$2.00B	Raised over period					\$1.60B	Raised over period					\$1.60B														
Dilution by FY36					+80%	Dilution by FY36					+64%	Dilution by FY36					+53%	Dilution by FY36					+21%	Dilution by FY36					+15%	Dilution by FY36					+15%														
FY36 shares (M)					1,425	FY36 shares (M)					1,296	FY36 shares (M)					1,209	FY36 shares (M)					954	FY36 shares (M)					906	FY36 shares (M)					906														
DCF per share					\$0.51	DCF per share					\$0.85	DCF per share					\$2.25	DCF per share					\$32.29	DCF per share					\$95.40	DCF per share					\$95.40														
× (1-P_fail) [55%]					\$0.28	× (1-P_fail) [65%]					\$0.55	× (1-P_fail) [82%]					\$1.85	× (1-P_fail) [92%]					\$29.71	× (1-P_fail) [96%]					\$91.58	× (1-P_fail) [96%]					\$91.58														
+ P_fail × distress [45% × \$0.15]					\$0.07	+ P_fail × distress [35% × \$0.40]					\$0.14	+ P_fail × distress [18% × \$0.50]					\$0.09	+ P_fail × distress [8% × \$1.00]					\$0.08	+ P_fail × distress [4% × \$1.50]					\$0.06	+ P_fail × distress [4% × \$1.50]					\$0.06														
= Expected per share					\$0.35	= Expected per share					\$0.69	= Expected per share					\$1.94	= Expected per share					\$29.79	= Expected per share					\$91.64	= Expected per share					\$91.64														
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT														
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y																
\$0.62	\$1.09	\$1.92	\$3.38		\$1.09	\$1.71	\$2.69	\$4.24		\$2.92	\$4.39	\$6.60	\$9.92		\$42.77	\$61.40	\$88.14	\$126.54		\$128.53	\$180.27	\$252.84	\$354.62		\$128.53	\$180.27	\$252.84	\$354.62		\$128.53	\$180.27	\$252.84	\$354.62																
0.13×	0.22×	0.39×	0.69×		0.22×	0.35×	0.55×	0.86×		0.59×	0.89×	1.34×	2.02×		8.69×	12.48×	17.92×	25.72×		26.12×	36.64×	51.39×	72.08×		26.12×	36.64×	51.39×	72.08×		26.12×	36.64×	51.39×	72.08×																

Archer Aviation

People · Opportunity · Context · Deal

Bear \$0.69 Base \$1.94 Bull \$29.79

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Adam Goldstein · founder-led

8 yrs in seat

5.55%

insider ownership

HIGH

key-person risk

Capital allocation (realized)
Co-founder Adam Goldstein (founded Archer 2018; sole CEO since April 2022, Chair & CEO since the 2021 listing) runs a pre-revenue eVTOL developer. Capital is going into certification and manufacturing: a large cash balance (~\$1B+, strategic-backed), heavy ATM and strategic raises (the dilution cost), a Stellantis manufacturing partnership plus equity, and United Airlines orders. ~\$727M/yr burn; no dividend or buyback.

Incentive alignment
Founder-led with alignment now matching economics: Goldstein holds ~4.9% and the director/officer group ~5.55% (March 2026). Because the super-voting Class B sunset at the end of 2024, his voting power now equals his economic stake — the former ~37% founder voting control has lapsed.

GOVERNANCE FLAGS

- single class, one vote per share since December 31, 2024 — the former Class B (10-vote) super-voting auto-converted when it fell below the 10% threshold (a governance improvement)
- combined Chair & CEO (Goldstein holds both)
- classified / staggered board (three classes), 7 directors, with a lead independent director (Diaz) and independent Audit/Comp/Nominating committees
- Stellantis holds a contractual board-nomination right alongside its manufacturing partnership and equity — a strategic related-party relationship
- co-founder Brett Adcock departed in 2022; pre-revenue execution is concentrated on the founder-CEO

PEOPLE READ

The headline positive is that the dual-class super-voting sunset to clean one-share-one-vote at the end of 2024, so the founder’s votes now equal his ~5% economics; a majority-independent board with independent committees and a lead independent director backs that up. The offsets are a combined Chair/CEO, a classified/staggered board, and high key-person risk — a pre-revenue, cash-burning certification story concentrated on the founder-CEO after the other co-founder left in 2022.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the Page-3 business snapshot

Context

The 7 Powers analysis (Power Origination)

Deal

Open-market purchase = the deal: entry price vs. the scenario distribution (the +17.7% finding) + position sizing.



Archer Aviation

supporting analysis · disclaimers · glossary

Bear \$0.69 Base \$1.94 Bull \$29.79

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

Half of Joby's price, similar cert position.
~\$5.4B cap vs Joby's ~\$11B on a near-identical TC stage — the cheaper entry is the whole thesis.
- 2

Defense optionality Joby lacks.
Anduril autonomous-VTOL JV + \$142M USAF AFWERX + EDGE/Omen powertrain — a second revenue leg and a DoD-program-of-record call option.
- 3

Stellantis as contract manufacturer.
Automotive mass-production discipline behind the Covington line; the manufacturing partner is hands-on, not just strategic.
- 4

\$1.78B cash, low debt.
Funds the next phase; the constraint is burn (~\$727M/yr), not insolvency today.
- 5

First to close FAA 'Phase 3'.
Real certification progress; the gap to Joby is conforming-aircraft flight testing, not paperwork.

FALSIFICATION TRIGGERS

Bull validation FAA Type Certificate (2026-27) · Anduril → DoD program of record · UAE/US commercial ops generating revenue · Covington line at rate	Bear validation TC slips beyond 2027 · order book stays LOIs · burn forces dilutive raises < \$5/share	Reframe needed if a major DoD program of record is awarded, the defense leg re-rates independently of UAM — revisit the bull/ultra weights
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Midnight — Archer's 4-passenger + pilot eVTOL, ~100-mile range, 12 tilt-rotors; targets short city hops.	Type Certification (TC) — The FAA's airworthiness approval; no eVTOL has one yet — the gating risk for the whole sector.	Anduril JV — Archer's partnership to build an autonomous hybrid-VTOL for a potential DoD program of record — the defense leg Joby lacks.
Launch Edition — Archer's direct-operations model in international markets (UAE, etc.) ahead of US commercial UAM.	Sales-to-capital (s2c) — Damodaran reinvestment efficiency — incremental revenue per dollar of reinvested capital.	